

##CRISCb- IT Risk Assessment Practices

###Objectives:

At the end of this episode, I will be able to understand:

1. Risk is inevitable. It is inherent in anything an organization undertakes
2. Risk practitioners should understand risk, assess and respond to risk outside of risk appetite
3. Practitioners should also understand the difference between inherent, residual and current risk
4. Inherent Risk:
 - The risk level or exposure without considering the actions a company has taken or might take
 - This risk is present in any chosen course of action that is not specifically avoided
5. Residual Risk
 - The remaining risk after management has implemented a risk response
 - Calculated by subtracting the effectiveness of the risk response from inherent risk
 - Residual risk is what risk appetite is based upon.
6. Current Risk:
 - Residual risk is more in line with predictive perspective
 - Current risk can tend to confuse those that aren't following a risk management framework
 - Current risk = Current "point in time" risk associated with an asset where actions taken and actions pending are considered

Additional resources used during the episode can be obtained using the download link on the overview episode.

External Resources:

During this episode, you can reference the following external resources for supplementary tools and information:

<http://www.isaca.org>